

Olevel economics

Labour Market

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By:-

Zarak Mushtaq



## Trade Union

An association of workers formed to protect and promote the interest of its members. A trade union is formed, financed and run by its members, who pay an annual subscription.

Collective bargaining : Trade union negotiate with employers to achieve a range of aims and objectives. This process of negotiation is known as collective bargaining. Both sides try to reach agreement on a wide range of issues. This negotiation may take place at local, regional or national level.

### Aims :-

**Better working conditions :-** Trade unions will try to secure the best possible working conditions for their members.

**Health and safety :-** Trade unions will want to ensure that there are clear rules and regulations in place in order to provide an appropriate environment in terms of health and safety.

**Better pay :-** A major aim of trade unions will be to negotiate to obtain the

highest possible wage and salaries for their members to protect their standard of living.

**Training** :- Trade union will want to make sure that employers provide appropriate training for workers, especially in relation to the application of new technology.

**Equal opportunities** :- Trade unions will want to protect the interest of their members in terms of equal opportunities, making sure that there is no discrimination on the basis of gender or ethnicity.

**Influence over decisions at work** :- Trade unions will want to have a say in what goes on in the workplace so will seek to be represented on appropriate committees and councils.

**Benefits for members** :- Trade unions will seek to protect their members, representing them in grievance disputes or in disciplinary procedures.

**Shorter working hours** :- Trade unions will seek to gain favourable terms of employment for their members, e.g. shorter working hours.

## Trade union action

If a trade union does not achieve its aims and objectives through negotiation and collective bargaining, it may resort to industrial action. This would include :-

- \* **Strike**: Employees stop work so as to exert some influence in an industrial dispute
- \* **Go-slow**: Employees carry out their duties and responsibilities, but very slowly
- \* **Work to rule**: Employees work very strictly with the rules set out in a contract of employment.

## Factors influencing the strength of trade unions

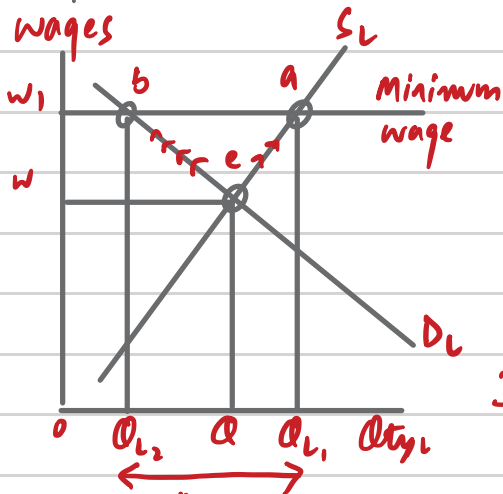
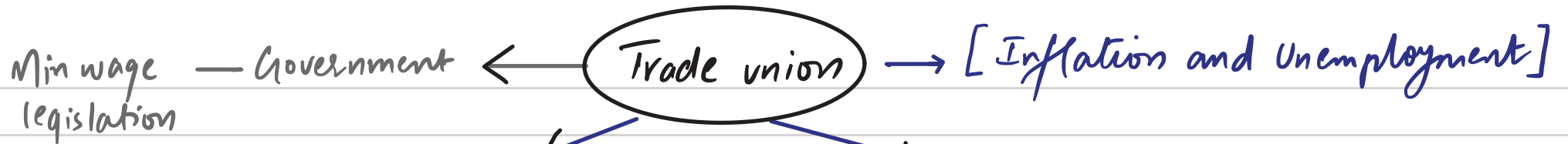
- \* Number of members
- \* Proportion of workers in an industry in a particular trade union
- \* Financial strength of the trade union
- \* Ability of a trade union to get publicity for its views and actions

## Minimum wage

A minimum wage is where a particular wage is established by a government above the market wage and it is therefore not possible for an employer to pay an employee a wage below this minimum wage.

A government may decide to do this to reduce the extent of poverty in a country. This policy of a fair wage would improve the standard of living of those workers who had previously been paid below the minimum wage.

The disadvantage to this is that a minimum wage could raise the costs of production for firms so they might decide to employ fewer workers at this higher wage, leading to fall in the employment rate.



For higher wages,  
in return :- productivity ↑  
↓  
If there is a mismatch

Situation :- Inflation

Affect :- Real income reduces  
ask for :- Higher wages

Purchasing power

Aggregate supply

Wages ↑ ⇒ Cost ↑ ⇒ Burden ⇒ AS ↓ ⇒ Prices ↑ ⇒ Inflation (Real income ↓)

Cost push inflation

The reason  
became the  
reason again

Workers will  
again ask for  
higher wages

[Wage price spiral]

Quantity supplied of  
workers is greater than  
quantity demand for  
workers, this creates  
surplus of workers i.e.  
Unemployment

Aggregate demand

AD ↑ ⇒ Demand pull inflation

Shortage

Prices ↑

Inflation

Most importantly,  
Trade union actions can  
result in inflation, both  
demand pull and cost push,  
also unemployment.

## Advantages and disadvantages of trade union activity

### Advantages :-

- \* Better pay
- \* Better working conditions
- \* Firms benefit from trade union activity because it is better to deal with representatives rather than with all workers individually.
- \* A government will benefit as trade union can provide great deal of information about economic matter, this helps policies to set appropriately.

### Disadvantages :-

- \* For workers, they have to pay money (subscription fee)  
Forced to join (closed shop)  
view might not match - in case of going on a strike
- \* For firms, significant wage increase, cost push inflation  
Reduce profitability  
industrial action can shutdown factory
- \* For government, trade unions can have certain political views  
trade union can join together, calling strike, can affect economy  
Demand pull inflation and unemployment

Questions

Marks:- 38

- Q1 Define and explain the functions of trade union? (6)
- Q2 Explain trade union actions? (6)
- Q3 Explain the factors influencing the strength of the unions? (6)
- Q4 Discuss advantages and disadvantages of trade union activity? (8)
- Q5 Explain how actions of trade union results in demand pull and cost push inflation? (6)
- Q6 Define minimum wage legislation and explain how using minimum wage can result in high unemployment? (6)